

COMMITTEE ON HEALTH & HUMAN SERVICES
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1477
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 36-446.14, Arizona Revised Statutes, is amended
3 to read:

4 36-446.14. Referral agencies; referral agents; assisted
5 living facilities and assisted living homes;
6 disclosures; acknowledgement; fee; notice;
7 insurance requirements; civil penalty;
8 definitions

9 A. A referral agency shall disclose, in the form prescribed by
10 subsection D of this section, to any prospective resident or
11 representative of a prospective resident at the time or before any
12 referral is made for care at an assisted living facility or assisted
13 living home all of the following:

14 1. The existence of any current business relationship or any common
15 ownership or control and any other financial, business, management or
16 familial relationship that exists between the referral agency and the
17 assisted living facility or assisted living home.

18 2. That the assisted living facility or assisted living home pays a
19 fee to the referral agency in connection with the referral.

20 3. The amount of the fee, if determined, or a good faith estimate
21 of the fee, if not determined, that the assisted living facility or
22 assisted living home will pay to the referral agency. The referral agency
23 may describe the fee as a dollar amount or as a percentage of the
24 prospective resident's first month's rent and care charges at the **ASSISTED**
25 **LIVING** facility or **ASSISTED LIVING** home.

26 B. After the first instance of the referral agency providing the
27 disclosure required by subsection A of this section, the referral agency
28 shall request from the prospective resident or representative of a

1 prospective resident an acknowledgement of receiving the disclosure in the
2 same manner and form in which the disclosure was delivered.

3 C. The prospective resident may terminate all services of the
4 referral agency for the prospective resident at any time, including the
5 use of the prospective resident's personal information, by providing a
6 written or electronic termination notice to the referral agency. If the
7 prospective resident delivers a termination notice, the referral agency is
8 not entitled to any fee for the resident's move-in after the date of the
9 termination notice unless either of the following applies:

10 1. The assisted living facility or assisted living home chosen by
11 the resident within twelve months after the date of termination was
12 specifically identified and referred to the resident after evaluating the
13 prospective resident's profile and requests before the resident delivered
14 the notice of termination.

15 2. The referral agency provides documentation to the assisted
16 living facility or assisted living home that the resident communicated
17 with the referral agency for referral services before the resident's
18 admission to the assisted living facility or assisted living home.

19 D. The referral agency's written, electronic or oral disclosure
20 shall be in the following format and, if written, shall be in
21 fourteen-point font type:

22 Arizona law requires that we provide you with the
23 following disclosure notice.

24 We are in the business of referring residents to
25 assisted living facilities and assisted living homes. We will
26 be paid by the ASSISTED LIVING facility or ASSISTED LIVING
27 home if you move into one of the referred ASSISTED LIVING
28 facilities or ASSISTED LIVING homes. The fee we receive from
29 the ASSISTED LIVING facility or ASSISTED LIVING home into
30 which you move typically ranges from (____) to (____) percent
31 of your first month's rent and care charges or from (\$____) to
32 (\$____). We (do/do not) have a current business relationship
33 (but/and) we (do/do not) have a common ownership or control
34 in, or any other financial, business, management or familial
35 relationship with, (any) (one or more) of the ASSISTED LIVING
36 homes and ASSISTED LIVING facilities to which we are referring
37 you.

38 By providing us with a written or electronic notice, you
39 have the right to terminate our services to you at any time,
40 including our use of your personal information. If you
41 terminate our services, we will not be entitled to any fee for
42 any move-in you make after the date of the termination notice
43 unless either:

44 1. The ASSISTED LIVING facility or ASSISTED LIVING home
45 you choose within the next twelve months is one that we
46 specifically identify and refer to you after we evaluate your

1 profile and requests but before we receive your notice of
2 termination.

3 2. You communicate with us before you move into the
4 ASSISTED LIVING facility or ASSISTED LIVING home.

5 E. Within fourteen days after a resident is admitted to an assisted
6 living facility or assisted living home, the ASSISTED LIVING facility or
7 ASSISTED LIVING home shall notify the referral agency of the resident's
8 admission if the ASSISTED LIVING facility or ASSISTED LIVING home is
9 contracted with the referral agency. Not later than fourteen days after
10 receiving notice of the resident's admission, the referral agency shall
11 provide the assisted living facility or assisted living home with a
12 written or electronic copy or recording of the disclosure made to the
13 resident and the resident's acknowledgement of receiving the disclosure as
14 prescribed in subsections B and D of this section, along with the date and
15 time of the disclosure to the resident. THE REFERRAL AGENCY SHALL PROVIDE
16 DOCUMENTATION TO THE ASSISTED LIVING FACILITY OR ASSISTED LIVING HOME THAT
17 THE REFERRAL [AGENCY] [AGENT] IS NOT ON THE ADULT PROTECTIVE SERVICES
18 REGISTRY OR, IN THE ALTERNATIVE, SHALL [ANNUALLY-VERIFY] [INCLUDE] THROUGH
19 CONTRACT OR POLICY AND PROCEDURES THAT THE REFERRAL AGENCY [ANNUALLY] USES
20 A NATIONALLY ACCREDITED SERVICE PROVIDER TO OBTAIN CRIMINAL HISTORY RECORD
21 INFORMATION FOR NEW EMPLOYEES OF THE REFERRAL AGENCY WHO HAVE DIRECT
22 CONTACT WITH CONSUMERS OR WHO PHYSICALLY ENTER ASSISTED LIVING FACILITIES
23 OR ASSISTED LIVING HOMES FOR THE PURPOSE OF MAKING REFERRALS. The
24 assisted living facility or assisted living home shall maintain a copy of
25 the disclosure for as long as the resident is at the facility or home.
26 The referral agency shall maintain a copy of the disclosure and
27 acknowledgement for one year. The assisted living facility or assisted
28 living home shall not pay any referral fee associated with a resident
29 until the ASSISTED LIVING facility or ASSISTED LIVING home receives the
30 written or electronic copy or recording of the disclosure made to the
31 resident and the resident's acknowledgement of receiving the disclosure
32 provided and maintained in the same manner and form.

33 F. A REFERRAL AGENCY SHALL PROCURE THE FOLLOWING INSURANCE FROM AN
34 INSURER AUTHORIZED TO DO BUSINESS IN THIS STATE:

35 1. COMMERCIAL GENERAL LIABILITY INSURANCE IN AN AMOUNT OF AT LEAST
36 \$1,000,000 PER OCCURRENCE AND \$3,000,000 IN THE AGGREGATE.

37 2. PROFESSIONAL LIABILITY INSURANCE IN AN AMOUNT OF AT LEAST
38 \$1,000,000 PER OCCURRENCE AND \$3,000,000 IN THE AGGREGATE.

39 ~~F.~~ G. A referral agency that violates this section is subject to a
40 civil penalty of up to \$1,000 for each violation. The attorney general or
41 a county attorney may institute a proceeding in superior court to recover
42 the civil penalty under this subsection and to restrain and enjoin a
43 violation of this section. Any civil penalty recovered pursuant to this
44 subsection shall be deposited in the general fund of the jurisdiction that
45 prosecuted the violation.

1 ~~H.~~ H. For the purposes of this section:

2 1. "Electronically" includes an audio recording that conforms with
3 the Arizona rules of evidence, that is maintained by the referral agency
4 and that is transmitted to the assisted living facility or assisted living
5 home and the resident or the resident's representative in a format that
6 can be downloaded.

7 2. "Referral agency" [OR "REFERRAL AGENT"]:

8 (a) Means a person or entity that provides referrals for a fee that
9 is collected from either the resident or the assisted living facility or
10 assisted living home.

11 (b) Does not include either:

12 (i) An assisted living facility or assisted living home, or its
13 employees.

14 (ii) A resident, a resident's family member or a patron of an
15 assisted living facility or assisted living home who refers a prospective
16 resident to an assisted living facility or assisted living home and
17 receives a discount or other remuneration from the assisted living
18 facility or assisted living home.

19 Enroll and engross to conform

20 Amend title to conform

And, as so amended, it do pass

SELINA BLISS
CHAIRMAN

1477HEALTH HUMAN SERVICES.docx
03/09/2026
06:18 PM
C: MH
130THOLVN